

DH 2013 Table 6. Local and global Cochrane–Piazzesi regressions

|  | Country | n  | b_CP  | R2_loc | b_GCP | R2_glb | b_CpP | b_GCP.j | R2_jnt | Wald p |
|--|---------|----|-------|--------|-------|--------|-------|---------|--------|--------|
|  | BE      | 2  | 1.69  | 0.41   | 2.24  | 0.28   | 1.49  | 2.24    | 0.41   | [0.00] |
|  |         | 5  | 5.78  | 0.44   | 7.43  | 0.28   | 5.37  | 7.43    | 0.44   | [0.00] |
|  |         | 10 | 9.99  | 0.35   | 13.71 | 0.26   | 8.29  | 13.71   | 0.36   | [0.00] |
|  | DE      | 2  | 1.49  | 0.22   | 2.03  | 0.32   | −0.77 | 2.03    | 0.32   | [0.00] |
|  |         | 5  | 5.87  | 0.29   | 7.39  | 0.35   | −0.12 | 7.39    | 0.35   | [0.00] |
|  |         | 10 | 10.80 | 0.27   | 12.78 | 0.29   | 3.80  | 12.78   | 0.29   | [0.00] |
|  | FR      | 2  | 1.51  | 0.29   | 2.23  | 0.35   | 0.12  | 2.23    | 0.35   | [0.00] |
|  |         | 5  | 5.65  | 0.36   | 7.43  | 0.34   | 3.47  | 7.43    | 0.37   | [0.00] |
|  |         | 10 | 11.14 | 0.37   | 13.59 | 0.31   | 10.49 | 13.59   | 0.37   | [0.00] |
|  | IT      | 2  | 1.47  | 0.46   | 2.43  | 0.24   | 1.68  | 2.43    | 0.47   | [0.00] |
|  |         | 5  | 5.73  | 0.48   | 8.66  | 0.21   | 7.31  | 8.66    | 0.50   | [0.00] |
|  |         | 10 | 11.17 | 0.47   | 17.74 | 0.23   | 13.42 | 17.74   | 0.48   | [0.00] |
|  | NL      | 2  | 1.43  | 0.23   | 2.02  | 0.31   | −0.56 | 2.02    | 0.31   | [0.00] |
|  |         | 5  | 5.76  | 0.32   | 7.36  | 0.34   | 1.67  | 7.36    | 0.35   | [0.00] |
|  |         | 10 | 11.32 | 0.32   | 13.54 | 0.31   | 7.84  | 13.54   | 0.33   | [0.00] |
|  | CH      | 2  | 1.18  | 0.11   | 1.13  | 0.18   | −0.39 | 1.13    | 0.18   | [0.01] |
|  |         | 5  | 6.44  | 0.27   | 5.37  | 0.32   | 1.50  | 5.37    | 0.32   | [0.00] |
|  |         | 10 | 11.19 | 0.21   | 9.86  | 0.28   | 0.17  | 9.86    | 0.28   | [0.00] |
|  | GB      | 2  | 1.31  | 0.17   | 1.71  | 0.19   | 0.37  | 1.71    | 0.19   | [0.01] |
|  |         | 5  | 5.89  | 0.29   | 6.43  | 0.23   | 5.64  | 6.43    | 0.29   | [0.00] |
|  |         | 10 | 11.69 | 0.30   | 12.60 | 0.23   | 11.68 | 12.60   | 0.29   | [0.00] |
|  | SE      | 2  | 1.66  | 0.47   | 2.81  | 0.45   | 1.08  | 2.81    | 0.49   | [0.00] |
|  |         | 5  | 5.47  | 0.45   | 9.63  | 0.46   | 2.59  | 9.63    | 0.48   | [0.00] |
|  |         | 10 | 10.77 | 0.45   | 18.69 | 0.45   | 5.83  | 18.69   | 0.47   | [0.00] |
|  | CA      | 2  | 1.66  | 0.27   | 2.30  | 0.33   | −0.13 | 2.30    | 0.33   | [0.00] |
|  |         | 5  | 5.62  | 0.34   | 7.51  | 0.39   | 0.61  | 7.51    | 0.39   | [0.00] |
|  |         | 10 | 10.43 | 0.33   | 14.14 | 0.39   | 0.29  | 14.14   | 0.39   | [0.00] |
|  | JP      | 2  | 1.35  | 0.62   | 1.00  | 0.44   | 1.33  | 1.00    | 0.62   | [0.00] |
|  |         | 5  | 6.71  | 0.69   | 5.45  | 0.59   | 5.05  | 5.45    | 0.71   | [0.00] |
|  |         | 10 | 9.84  | 0.45   | 8.69  | 0.46   | 5.14  | 8.69    | 0.49   | [0.00] |
|  | US      | 2  | 1.84  | 0.30   | 1.85  | 0.26   | 2.64  | 1.85    | 0.30   | [0.00] |
|  |         | 5  | 5.49  | 0.25   | 5.43  | 0.21   | 8.64  | 5.43    | 0.25   | [0.00] |
|  |         | 10 | 9.80  | 0.23   | 9.83  | 0.20   | 13.86 | 9.83    | 0.23   | [0.00] |

$r^2(n)$  on: local CP (Eq 4); global GCP (Eq 6); and both, with the local factor orthogonalized vs GCP (Eq 7).  
Adjusted R2 shown; Wald p–value of joint significance in [.]. Newey–West, 12 lags. All 11 countries, n in {2,5,10}.